

UNIT 5

Intellectual Property Rights

Trade Secrets | Industrial Designs | Copyright

Topics Covered

- A - Trade Secrets — Definition, Significance & Protection Tools in India
- B - Industrial Designs — Introduction, Features, Registration Procedure
- C - Industrial Design — Revocation, Infringement, Remedies & Case Studies
- D - Copyright — Introduction, Nature, Scope & Rights Conferred
- E - Copyright Protection, Transfer, Broadcasting & Performer's Rights
- F - Exceptions to Copyright (Fair Dealing)
- G - Copyright Infringement — Forms, Remedies & Case Studies

A. Trade Secrets

A.1 Definition

A trade secret is any formula, pattern, compilation of data, customer list, device, method, technique, or process that:

- Derives independent economic value (actual or potential) from being secret.
- Is not generally known or easily ascertainable by others who could benefit from it.
- Is subject to reasonable efforts by its owner to maintain its secrecy.

Classic Examples of Trade Secrets

Coca-Cola's formula, Google's search algorithm. Customer databases, pricing strategies, supplier contracts. Manufacturing processes and chemical formulations.

A.2 Significance of Trade Secrets

Significance	Explanation
Unlimited Duration	Unlike patents (20 yrs) or copyrights (life + 60 yrs), trade secrets last as long as the information stays secret.
Immediate Protection	No registration required — protection begins the moment secrecy is established.
Wider Coverage	Can protect ideas, business strategies, and customer lists that are ineligible for patent or copyright.
No Disclosure	Patent requires public disclosure; trade secrets allow full confidentiality.
Cost-Effective	No filing fees, no renewal fees, no government agency involvement.
Global Coverage	Theoretically worldwide protection without needing multi-country filings.
Competitive Advantage	Enables sustained market leadership through exclusive knowledge.

A.3 Trade Secret vs. Patent — Key Differences

Basis	Trade Secret	Patent
Duration	As long as kept secret — potentially forever	20 years from filing date
Acquisition	Immediate — no registration needed	Takes months to years
Disclosure	No public disclosure required	Full disclosure mandatory
Coverage	Broad — ideas, methods, data, strategies	Limited to patentable inventions
Protection Lost If	Secret is independently discovered or leaked	Expires after 20 years
Legal Action	Breach of contract, misappropriation suits	Patent infringement suits

A.4 Tools to Protect Trade Secrets in India

India does not have a standalone Trade Secrets Act. However, trade secrets are protected through a combination of contractual, civil, and criminal mechanisms.

Tool / Mechanism	How It Works
Non-Disclosure Agreements (NDAs)	Contractual obligation binding employees, partners, and third parties not to disclose confidential information. Legally enforceable under the Indian Contract Act, 1872.
Confidentiality Clauses	Employees sign confidentiality clauses as part of their employment contract. Duty of confidentiality continues after the employee leaves.
Trade Secret Policy	Internal policy limiting access to sensitive information on a 'need-to-know' basis. Employees are trained on what constitutes confidential information.
Non-Compete Clauses	Post-employment restrictions preventing employees from working for competitors. Enforceability is limited in India but acts as a deterrent.
Access Control Systems	Physical (restricted areas, locked cabinets) and digital (passwords, encryption, firewalls) measures to limit access.
Document Marking	Marking documents 'Confidential' or 'Proprietary' establishes the owner's intent to maintain secrecy — important for legal proceedings.
IT Act, 2000 (Section 43 & 66)	Unauthorized access to computer systems storing trade secrets is a criminal offence under the Information Technology Act.
Indian Contract Act, 1872	Breach of confidentiality obligations can lead to civil suits for damages and injunction.

B. Industrial Designs — Introduction & Features

B.1 What is Industrial Design?

An industrial design refers to the ornamental or aesthetic features of an article — the visual appearance of a product that is industrially mass-produced. It may be:

- 3-Dimensional features: Shape, configuration, or surface of the article.
- 2-Dimensional features: Patterns, lines, colours, or their combination applied to the article.

Key Points

Protected under: Designs Act, 2000 (India).

Governing Authority: Controller General of Patents, Designs & Trade Marks.

Protection Term: 10 years from registration; renewable for 5 more years (total 15 years).

Industrial designs protect APPEARANCE only: not function or technical features.

A design must appeal to the eye to be registrable.

B.2 Industrial Design vs. Patent

Basis	Industrial Design	Patent
What it Protects	Visual/aesthetic appearance of a product	Technical invention / new solution to a problem
Focus	Ornamental, non-functional aspects	Functional, technical aspects
Duration (India)	10 years + 5 year renewal = 15 years max	20 years
Registration	Mandatory for protection	Mandatory for protection
Example	Unique bottle shape, smartphone UI icons	Drug molecule, engine mechanism

B.3 Industrial Design vs. Copyright

Particulars	Copyright	Industrial Design
Nature of Protection	Protects original literary, artistic, musical, and dramatic works — expressions of ideas.	Protects the visual/aesthetic appearance of an industrially produced article.
Scope of Protection	Protects the intellectual creation itself — right to reproduce, distribute, perform, display.	Protects specific visual features, not the underlying idea or concept.
Registration Requirement	NOT mandatory — copyright arises automatically on creation.	MANDATORY — design must be registered to claim protection.
Duration (India)	Lifetime of creator + 60 years.	10 years + 5 year renewal (total 15 years). After 15 years, enters public domain.

B.4 Essential Characteristics of a Registrable Design

1. NEW: No identical design has been disclosed publicly before the date of filing.
2. ORIGINAL: Independently created by the designer — not a copy or imitation of existing designs.
3. INDIVIDUAL CHARACTER: Overall impression on an informed user must differ from prior designs.
4. APPEALS TO THE EYE: Design must be judged solely by visual appearance.
5. INDUSTRIALLY APPLICABLE: Applied to an article by any industrial process.

⚠ What CANNOT be Registered as an Industrial Design

Designs that are not new or original.

Features dictated solely by technical function (those go to patents).

Designs contrary to public order or morality.

Architectural works — a plan of a building is protected by copyright, not industrial design.

The shape/configuration of a spring (purely functional) cannot be registered.

Note: A colour can be registered IF it forms an integral part of the design pattern.

B.5 Benefits of Registering an Industrial Design

- Exclusive ownership — prevents unauthorised copying by competitors.
- Can be licensed or assigned — generates additional revenue.
- Strengthens company brand — design becomes a business asset.
- Positive business image — increases market value of the company.
- Rewards creativity — incentivises designers to create new aesthetics.

C. Industrial Design: Procedure, Revocation & Infringement

C.1 Procedure for Obtaining Industrial Design Protection (Designs Act, 2000)

Step	What to Do
1. Prior Art Search	Search existing designs to ensure novelty. Check Design Office database.
2. Prepare Representation	Prepare clear drawings/images showing the exact article for which registration is sought (all views — front, back, side).
3. Identify Design Class	Identify the appropriate class from 32 internationally accepted Locarno Classification classes.
4. Prepare Novelty Evidence	Collect evidence establishing that the design is new and original.
5. File Application	File Form-1 at the Design Office (Kolkata) or any branch of the Patent Office (Delhi, Mumbai, Chennai).
6. Pay Fees	Registration fee: Rs. 1,000 (individual/small entity); Renewal fee: Rs. 2,000.
7. Examination	Controller examines the application. Objections must be responded to promptly.
8. Registration	If satisfied, Controller registers the design and issues Certificate of Registration.
9. Renewal	Registered for 10 years initially; renewable for 5 more years (before expiry).

C.2 Revocation of Industrial Design

Definition: Revocation means the legal cancellation or invalidation of the registration of an industrial design.

Grounds for Revocation

- Lack of Novelty or Originality: Is not new, identical or substantially similar design existed before filing.
- Lack of Individual Character: Does not produce a distinct overall impression on an informed user.
- Non-Compliance: Failure to comply with formal requirements during the application process.
- Design Not Registrable: A purely functional feature or a design contrary to morality.
- Invalidity Claims by Third Parties: Challenge validity based on prior rights, art, or other legal grounds.

Any person interested may petition Controller for revocation of a design registration at any time during term.

C.3 Infringement of Industrial Design

Infringement occurs when a person, without the consent of the registered owner, applies a design identical or substantially similar to the registered design on any article in the same class, for commercial purposes.

Forms of Infringement

- Manufacturing or selling articles with a pirated registered design.
- Importing articles bearing a pirated registered design.
- Using the pirated design on goods for commercial purposes.

C.4 Remedies for Industrial Design Infringement

Remedy	Description
Cease and Desist Letter	Formal notice demanding the infringer stop using the design and compensate for damages. First step before litigation.
Injunction	Court order restraining the infringer from continuing the infringing activity.
Damages / Compensation	Monetary compensation for financial losses suffered due to the infringement.
Account of Profits	Court may order the infringer to pay over the profits made from the infringement.
Destruction / Seizure of Infringing Goods	Court orders seizure and destruction of goods bearing the infringing design.
Negotiation / Licensing	Resolving the dispute through licensing agreements — infringer obtains a valid license.
Criminal Prosecution	Willful infringement may lead to criminal action under applicable IP laws.

C.5 Case Studies — Industrial Design

Case	Issue	Principle / Outcome
Crocs Inc. v. Bata India Ltd. (2017)	Crocs claimed their distinctive clog shoe design was infringed by Bata's similar design.	Delhi HC held: Visual appearance of shoe design — overall impression test applied. Strong reminder that aesthetic features are protected, not just functionality.
Apple v. Samsung (Global Design Wars)	Apple claimed Samsung copied the trade dress and design elements of iPhone including rounded corners and grid icon layout.	Courts in multiple countries upheld Apple's design rights. Samsung paid substantial damages. Reinforced importance of registering industrial designs.

D. Copyright — Introduction, Nature & Scope

D.1 Introduction to Copyright

Copyright is a form of intellectual property that automatically protects original literary, artistic, musical, dramatic, cinematographic, and sound recording works from the moment of their creation. In India, copyright is governed by the Copyright Act, 1957 (amended in 2012).

Key Principle: Idea vs. Expression

Copyright protects the **EXPRESSION** of an idea — NOT the idea itself.

Example: Y wrote a video game based on an idea discussed by X, Y and Z.

Y is the author and owner because he created the expression (not X whose idea it was).

D.2 Nature and Scope of Copyright

- **Automatic:** Arises the moment the work is created and fixed in a tangible medium. No registration needed, though registration provides legal advantages.
- **Exclusive:** Only the copyright holder has the right to use, reproduce, and distribute the work.
- **Territorial:** Copyright is country-specific, though international treaties (Berne Convention, TRIPS) provide mutual recognition.
- **Time-limited:** Does not last forever, eventually enters the public domain.

D.3 Works Protected by Copyright (Section 13, Copyright Act 1957)

Category	Examples	Duration (India)
Literary Works	Novels, poems, articles, essays, computer programmes, databases, source code	Lifetime of author + 60 years
Artistic Works	Paintings, drawings, photographs, sculptures, architectural works	Lifetime of author + 60 years
Musical Works	Compositions-the music itself (not recording)	Lifetime of author + 60 years
Sound Recordings	Songs, audio recordings-independent of underlying music	60 years from year of publication
Dramatic Works	Plays, scripts, choreography in written form	Lifetime of author + 60 years
Cinematographic Films	Movies, documentaries, animated films	60 years from year of publication
Building Plans	Architectural drawings and plans	Lifetime of author + 60 years

E. Rights Conferred, Transfer, Broadcasting & Performer's Rights

E.1 Rights Conferred by Copyright (Section 14)

The copyright owner has the exclusive right to do or authorise others to do the following:

1. **Right to Reproduce:** Copy the work in any material form.
2. **Right to Publish:** Issue copies of the work to the public for the first time.
3. **Right to Communicate to the Public:** Perform, broadcast, or transmit the work to the public.
4. **Right of Translation:** Produce, reproduce, perform, or publish translations of the work.
5. **Right of Adaptation:** Make a cinematographic film, record, or adaptation of the work.

6. Right of Distribution: Sell, hire, or lend copies of the work.
7. Right to Make Derivative Works: Act upon a translation or adaptation of the work.

E.2 Moral Rights (Section 57)

Even after transferring economic rights, the author retains moral rights:

- Right of Paternity: Right to claim authorship of the work.
- Right of Integrity: Right to object to any distortion, mutilation, or modification of the work that would prejudice the author's honour or reputation.

E.3 Transfer of Copyright

Mode	Assignment	Licensing
Ownership	Ownership transfers to assignee	Owner retains ownership
Nature	Transfer of a bundle of rights associated with the copyrighted work	Permission to use the work under specific terms
Duration	May be for specified period or permanent	For the duration specified in the license agreement
Consideration	Lump sum or agreed payment	Royalties or license fee
Formality	Must be in writing and signed by the assignor	May be oral or written; exclusive licenses must be in writing
Revocation	Assignment can be revoked if assignee fails to exercise rights within 1 year	License can be terminated per the agreement terms

E.4 Broadcasting Reproduction Rights (Section 37)

Broadcasting organisations have special rights over their broadcasts. These rights allow the organisation to authorise or prohibit. Any act performed without the licence of the broadcasting organisation constitutes violation of copyright. **Duration:** 25 years from the year in which the broadcast was made.

1. Reproducing the broadcast in any material form.
2. Causing the broadcast to be heard or seen by the public on payment of charges.
3. Making any sound recording or visual recording of the broadcast.
4. Making any reproduction of such sound/visual recording (if the initial recording was unauthorised).
5. Selling or hiring any such sound or visual recording to the public.

E.5 Performer's Rights (Section 38 & 38A)

Performers (actors, singers, musicians, dancers, acrobats, etc.) have special rights over their live performances. **Duration:** Performer's rights last 50 years from the year the performance was made.

Economic Rights of Performers

- To make a sound or visual recording of the performance.
- To reproduce a sound or visual recording of the performance.
- To broadcast or communicate the performance to the public.
- To sell or hire copies of the recording to the public.

Moral Rights of Performers

- Right to be identified as the performer (right of paternity).
- Right to object to distortion, mutilation, or modification of the performance that would damage the performer's reputation.

F. Exceptions to Copyright — Fair Dealing (Section 52)

Not every use of a copyrighted work is an infringement. Section 52 of the Copyright Act, 1957 lays down acts that do NOT constitute copyright infringement. These are known as 'Fair Dealing' provisions.

F.1 Main Fair Dealing Categories

Exception	Scope / Details
Private Use / Research	Fair dealing for private use, including research — copying for personal study is permitted.
Criticism or Review	Fair dealing for the purpose of criticism or review, whether of that work or any other work.
Reporting Current Events	Use in newspapers, magazines, cinematograph films, or broadcast for reporting current events.
Judicial Proceedings	Reproduction of a work for the purpose of a judicial proceeding or a report of such proceeding.
Legislative Purposes	Reproduction of a work prepared by the Secretariat of a Legislature for the use of its members.
Certified Copies	Reproduction in a certified copy made/supplied in accordance with any law in force.
Reading/Recitation in Public	Public reading or recitation of reasonable extracts from a published literary or dramatic work.
Educational Use	Publication in collections bona fide intended for educational institutions; performance by staff/students at educational institutions if audience is limited.
Library Copies	Making up to 3 copies of a book by a public library if the book is unavailable for sale in India.
Unpublished Works for Research	Reproduction of an unpublished work kept in a library/museum for research or private study purposes.
Computer Programme Back-up	Making copies or adaptations of a computer programme by the lawful possessor for own use or as a backup.
Government Gazette / Orders	Reproduction of any matter published in any official Gazette, Government commission report, or court order.
Architectural Works / Public Sculptures	Making paintings, drawings, engravings or photographs of architecture or sculptures permanently situated in a public place.

★ Acts NOT Constituting Infringement of Performer's Rights (Section 39)

Making a recording for private use or bona fide teaching/research.

Using excerpts of a performance for fair dealing — reporting current events, review, teaching, or research.

Any act permitted under Section 52 (general copyright exceptions) applies to performer's rights too.

Reproduction for judicial proceedings.

Performance in educational institution activities if audience is limited to staff, students, and parents.

G. Copyright Infringement — Forms, Remedies & Case Studies

G.1 What is Copyright Infringement?

Copyright infringement is the use of works protected by copyright law without the permission of the copyright holder, infringing the exclusive rights granted to them — such as the right to reproduce, distribute, display, perform, or make derivative works.

G.2 Common Forms of Copyright Infringement

- Reproduction of the work in any material form without permission.
- Publication of the work — issuing unauthorized copies to the public.
- Making an unauthorized adaptation, translation, or derivative work.
- Unauthorized distribution, sale, or hire of copies.
- Digital piracy — uploading/downloading copyrighted material from the internet.
- Software piracy — installing unlicensed software copies.

Software Copyright Infringement (India)

India uses the Substantial Similarity Test to judge software copyright infringement. The code, structure, sequence, and organisation (SSO) of software are protectable as a literary work. Even if not exact copy, substantial similarity in expression = infringement. Enforcement by: The Copyright Board and the Courts.

G.3 Copyright vs. Trade Secret — Quick Comparison

Basis	Trade Secret	Copyright
What is Protected	Formula, method, device, compilation of facts, business information that is confidential and gives a competitive advantage.	Books, photos, music, recordings, fine art, graphics, videos, film, architecture, computer programs.
Duration	As long as information remains confidential and functions as a trade secret.	Life of author + 60 years. For corporate works: 60 years from publication.
Registration	Not required — instant protection	Not required — automatic on creation
Disclosure	Must stay secret	Public access to the work is fine

G.4 Effectiveness of Copyright for Computer Software

Advantages of Copyright over Patent for Software

- Nature of Protection: Copyright protects the expression (code) — patent protects functional inventions.
- Automatic Protection: Arises upon creation with no registration needed. Patents take years.
- Duration: Lifetime + 60 years — long-term protection for software developers.
- Faster & Cheaper: Copyright registration (optional) is simpler and cheaper than patent prosecution.
- Less Restrictive: Patent claims can be narrow, create legal uncertainty; copyright is straightforward.

Challenges Facing Copyright Protection of Software

- Software Piracy: Easy digital distribution makes large-scale infringement simple. Enforcement is expensive and complex.
- Global Enforcement: Internet makes piracy cross-border, difficult to enforce across jurisdictions.

- Authorship Complexity: Multiple contributors, open-source projects, AI-generated code raise unclear authorship questions.
- Derivative Works Problem: Modifications, adaptations, and reverse-engineered code complicate the scope of protection.

G.5 Remedies for Copyright Infringement

Civil Remedies (Section 55)

1. Injunction: Court order restraining the infringer from continuing the infringement.
2. Damages: Compensation for loss suffered, including account of profits made by the infringer.
3. Delivery up / Destruction: Infringing copies and plates used to make them may be seized or destroyed.

Criminal Remedies (Section 63 & 65)

- Imprisonment: Minimum 6 months — maximum 3 years.
- Fine: Minimum Rs. 50,000 — maximum Rs. 2,00,000.
- Both imprisonment and fine can be imposed.
- Repeat offenders face enhanced penalties (min. 1 year imprisonment).

Administrative / Other Remedies

- Customs Seizure: Right holders can request Customs to seize infringing imported goods.
- Copyright Board: Dispute resolution, compulsory licensing matters.



Dual Enforcement Machinery

The Copyright Act, India provides TWO legal mechanisms for enforcement:

1. The Copyright Board — administrative/quasi-judicial body.
2. The Courts — civil and criminal proceedings.

G.6 Important Case Studies — Copyright

Case	Issue	Principle / Outcome
Eastern Book Company v. D.B. Modak (2008)	Plaintiffs claimed copyright over software (SCC Online) which involved editorial notes, headnotes, and cross-references added to court judgments.	Supreme Court: Judgments are in public domain but the 'modicum of creativity' in editorial inputs can attract copyright. Established the 'Modicum of Creativity' test in India.
R.G. Anand v. Delux Films (1978)	Author of a play claimed the film 'New Delhi' copied his work.	SC held: Mere similarity of idea is not infringement. Copyright protects expression, not the idea. 'Idea-Expression Dichotomy' — landmark Indian copyright case.
India TV v. Yashraj Films (2012)	Reality TV show used background music from Bollywood films without license.	Court held: Broadcasting use of copyrighted music without license = infringement. Compulsory licensing provisions discussed.
NAG v. State of Andhra Pradesh (Software Piracy)	Government departments found using unlicensed Microsoft software.	Settled with damages. Reinforced that even government use of unlicensed software is piracy and actionable.